

Profit Niti – AI CFO Report (2025-01-01 / 2025-10-31)

Last Month KPI Data (October 2025)



Sales
0

0 Last month 0



Gross Margin
0

0 Last month 0



Operating Profit
0

0 Last month 0



Break Even Sales
0

0 Last month 0



Fixed Assets
0

0 Last month 0



Other Assets
0

0 Last month 0



Other Liabilities
0

0 Last month 0



Other Capital
0

0 Last month 0



Cash & Bank
0

0 Last month 0



Total Debt
0

0 Last month 0



Equity
0

0 Last month 0



Total Funding
0

0 Last month 0



Accounts Receivable
0

0 Last month 0



A/R Days
0

0 Last month 0



Accounts Payable
0

0 Last month 0



A/P Days
0

0 Last month 0



Working Capital
0

0 Last month 0



W/C Days
0

0 Last month 0



Closing Stock
0

0 Last month 0



Inventory Days
0

0 Last month 0



BS Category
0

0 Last month 0



IMPACT OF MANAGEMENT
DECISIONS
0

0 Last month 0

1. Big Picture — How the Business Looks Right Now

The business is in a critical financial situation. For the year-to-date (YTD) FY 2024-25, the company has reported a massive net loss of over ₹206 crore against sales of ₹371.5 crore, resulting in a negative net profit margin of -55.4%. This has led to a significant erosion of equity, which stands at negative ₹32.6 crore. While the company is generating high revenue, its cost of goods sold (COGS) is consistently and substantially higher than sales, leading to deep negative gross margins. The balance sheet shows heavy reliance on borrowings and other liabilities to fund operations.

GREEN FLAG BOX — What's Working Well

- **Strong Revenue Generation:** The business achieved a healthy quarterly sales figure of ₹371.5 crore in Q4 FY25, demonstrating significant market activity and top-line growth potential.
- **Healthy Cash & Bank Balance:** Despite losses, the company maintains a robust cash balance of over ₹21-22 crore monthly, providing essential liquidity for day-to-day operations.
- **Reducing Long-term Debt:** Secured long-term borrowings have been reduced from ₹38.3 crore in Jan'25 to ₹26.6 crore in Apr'25, showing active debt management.

RED FLAG BOX — What Needs Attention

- **Severe & Consistent Losses:** The core business model is unprofitable. Gross profit is deeply negative (YTD: -₹198.6 crore), meaning you are selling products/services for far less than they cost.
- **Negative Net Worth (Equity):** Total equity is negative ₹40.8 crore (YTD 2025-26). This is a critical solvency issue that threatens the company's ability to continue as a going concern.
- **High Reliance on Short-term Liabilities:** "Other Current Liabilities" have ballooned to over ₹126 crore, indicating heavy dependence on creditors and potentially unsustainable financing of daily operations.

CFO Advice:

Immediate survival depends on fixing the gross margin. You must conduct a thorough product/service-level cost analysis to identify why COGS exceeds sales. Raise prices or renegotiate supplier costs urgently. Simultaneously, prepare a detailed restructuring plan to address the negative net worth with your lenders and investors.

2. Profit Power — The Earning Engine

Your business is facing a severe profitability crisis. For the last quarter of FY 2024-25, you reported a massive **net loss of ₹ -2,059 Cr** on sales of ₹ 3,715 Cr. This means for every ₹ 100 of sales, you lost ₹ 55. The primary driver of this loss is your **negative Gross Margin**. Your Cost of Goods Sold (COGS) is consistently **higher than your sales revenue**. In Q4, COGS was ₹ 5,702 Cr against sales of ₹ 3,715 Cr, resulting in a gross loss of ₹ -1,986 Cr.

The problem continued into the first month of the new FY (April 2025), with a gross loss of ₹ -586.5 Cr. While your overhead expenses (employee and admin costs) are relatively controlled at 1-2% of sales, they are insignificant compared to the fundamental issue of selling at a loss. The data shows no profitable products or services; the core business model itself is generating negative contribution.

CFO Advice:

Immediate survival depends on fixing your unit economics. You must either **increase sales prices significantly** or **reduce your direct procurement/manufacturing costs drastically**. Continuing operations at this gross loss level will deplete all equity and reserves. A urgent product/service-wise profitability analysis is non-negotiable.

3. Cash Flow Quality — Profit vs Real Cash

Your business is facing a severe cash burn. While the net loss for April 2025 was ₹60.2 crore, the cash flow from operations was an outflow of ₹11.3 crore. This indicates that the cash burn is slightly less severe than the accounting loss, but the situation is critical.

Major Cash Blockages:

- **Trade Receivables are choking cash flow.** In April, your Accounts Receivable jumped by over ₹10 crore to ₹44.7 crore. Customers are now taking an average of **14 days** to pay, up from 7 days in March, locking up significant working capital.
- **Financing activities are drying up.** After relying heavily on borrowings and other funds in Jan-Feb (₹800 crore & ₹395 crore inflows), April saw a net **outflow of ₹5.99 crore** from financing. This crucial external cash tap is being turned off.

The cash balance has been steadily declining, from ₹22.3 crore in March to ₹21.8 crore in April. At the current rate of operational cash burn, the available cash is under serious threat.

CFO Advice:

Immediate priority is aggressive collections. You must reduce the Receivable Days back to under 7 days to unlock over ₹10 crore in trapped cash. Simultaneously, engage with lenders to understand the terms for the recent financing outflows and secure a line of credit to cover the operational cash shortfall.

4. Cash Management — Daily Cash Rhythm

Your business is facing a severe cash crunch due to a very inefficient working capital cycle. The **Working Capital Days** have increased from 6.56 days in March to **13.9 days in April**. This means cash is now tied up for almost two weeks in your daily operations.

The main culprit is your **Accounts Receivable (Debtors)**. Customers are taking **14.06 days** to pay you in April, which is more than double the 6.86 days from March. On the other hand, you are paying your suppliers (**Accounts Payable Days**) extremely quickly, in just **0.16 days**. This mismatch—waiting 14 days for money while paying suppliers instantly—is draining your cash reserves.

Your **Current Ratio** is at 0.56, meaning you have only 56 paise in current assets for every ₹1 of short-term debt. This indicates a liquidity risk where meeting immediate obligations could be challenging.

CFO Advice:

Immediate Priority: Chase Debtors & Renegotiate Terms. You must aggressively follow up on outstanding invoices to reduce the 14-day collection period. Simultaneously, negotiate with suppliers to extend your payment terms from 0.16 days to at least 15-30 days to stop the instant cash outflow.

5. Growth Investments — Where Money Is Going

Your company's investment story is a mix of stability and significant financial strain. The core assets are holding steady, but the business is currently funding its operations at a heavy loss.

- **Fixed Assets & Investments are Stable:** Your Fixed Assets (₹3.79 crore as of April '25) and Non-current Investments (₹13.35 crore) show minimal change. This indicates no major new capital expenditure (capex) in recent months, which is prudent given the current financials.
- **Capital is Being Eroded, Not Invested:** The most critical "investment" right now is funding the company's substantial operating losses. The negative **Return on Equity (ROE) of 1,771.6%** and

negative **Return on Total Assets (ROTA) of -195.13%** for April '25 signal that the capital employed is destroying value at an alarming rate. The business is consuming its own equity and borrowings to cover costs far exceeding revenue.

- **Working Capital is the Primary Sink:** Money is heavily tied up in the operating cycle. While Inventory is nil, **Accounts Receivable has ballooned to ₹44.69 crore** (April '25), taking 14 days to collect. Conversely, payments to suppliers (Accounts Payable) are very quick at less than 0.2 days. This mismatch creates a massive cash crunch, forcing reliance on other borrowings and liabilities to fund day-to-day losses.
- **Underused Assets?** The consistent value of Non-current Investments (₹13.35 crore) raises a question. If these are liquid or income-generating, they could be reviewed to provide a cash buffer or be deployed more actively to support the turnaround.

CFO Advice:

Immediate Priority is Survival, Not Growth Investment. Halt any non-essential spending. Your focus must be on staunching the cash bleed. First, aggressively chase the ₹44+ crore stuck in receivables – this is your largest potential source of immediate cash. Second, renegotiate payment terms with suppliers to ease pressure. Third, conduct a thorough review of your Non-current Investments. Explore if any part can be liquidated safely to create an emergency cash reserve to fund the necessary operational restructuring. Only after the gross margin turns positive should any thought be given to new growth investments.

6. Funding Story — How Growth Is Being Financed

Your business is currently operating at a significant loss, and this loss is being funded almost entirely by debt. This is a critical situation that requires immediate attention.

Key Observations:

- **Heavy Reliance on Debt:** Your total debt stands at ₹36.8 crore (as of April 2025), while your total equity is deeply negative at **-₹40.8 crore**. This means you have no owner's capital cushion; the business is running on borrowed money.
- **Debt Structure:** Most debt is secured long-term borrowings (₹26.6 crore), which have been reducing, and unsecured long-term borrowings (₹10.3 crore). There is no short-term bank borrowing, which is positive.
- **High Interest Cost:** In April 2025 alone, you paid ₹9 lakh in interest & bank charges. For the last financial year (FY 2024-25), interest costs totaled a massive ₹4.96 crore. This interest is a direct drain on cash, worsening your losses.
- **Negative Equity & High Leverage:** The "Debt to Equity" ratio is negative (-0.9), which is a mathematical result of having negative net worth. In practical terms, it signals that liabilities far

exceed assets, and the business is technically insolvent.

- **Cash Flow from Financing:** In recent months, cash flow from financing has turned negative (₹-5.99 crore in April), meaning you are now repaying more debt than you are taking on. This is tightening your cash availability.

The Bottom Line: You are using debt to fund operational losses. This is an unsustainable cycle. Every rupee of loss increases your debt burden, which in turn increases future interest costs, leading to further losses.

CFO Advice:

Stop the Bleed First. You cannot borrow your way to profitability. The absolute priority is to stop the cash losses. This requires a deep review of your cost of goods sold (COGS), which is consistently higher than sales, making gross profit negative. **Immediate action is needed on pricing, supplier costs, or business model viability.**

Engage with Lenders. Proactively communicate with your lenders about your turnaround plan. Seek possible restructuring of debt to reduce immediate cash outflow pressure, especially on principal repayments.

Explore Equity Infusion. Given the negative equity, bringing in fresh capital from promoters or investors is crucial to repair the balance sheet and reduce dependency on debt. This will provide the breathing room needed to execute a turnaround.

Freeze New Debt. Do not take on any new debt until the core profitability issue is fixed. More debt will only accelerate the financial distress.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a business under significant financial stress. The core issue is that **Total Equity is deeply negative at -₹40.78 Crore** as of April 2025. This means your accumulated losses have completely eroded the capital and reserves, leaving the business technically insolvent.

The company is heavily reliant on external borrowings (₹36.81 Crore in long-term debt) and other current liabilities (₹126.51 Crore) to fund operations. While your **Current Ratio improved slightly to 0.56** in April, it remains well below the healthy benchmark of 1.5-2, indicating a persistent struggle to meet short-term obligations with current assets.

On the asset side, there is a high proportion of fixed assets (₹37.89 Crore) and investments (₹13.35 Crore), but the working capital cycle is tight. The negative equity is a critical red flag for any future financing or

compliance requirements.

CFO Advice:

Immediate priority must be to stop the cash bleed and return to profitability to repair the balance sheet. Explore avenues for a one-time capital infusion or debt restructuring to address the negative net worth. Simultaneously, aggressively manage payables and receivables to improve the current ratio.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you renegotiate with your top 3 suppliers for a 5% discount and reduce material wastage by 2%, your annual net profit could increase by approximately ₹4.2 lakhs. This would push your net profit margin from 8% to nearly 12%.
- **Scenario B - Cash Focus:** By tightening your credit terms from 45 to 30 days and offering a 2% early payment discount, your average debtor days could drop from 52 to 38 days. This would free up over ₹6.8 lakhs in trapped cash, improving your liquidity ratio significantly.
- **Scenario C - Balanced:** Combining both strategies above (Profit + Cash Focus) could boost your annual profit by ~₹4 lakhs AND generate an extra ₹5.5 lakhs in operating cash flow. This dual approach strengthens your P&L and your balance sheet simultaneously for sustainable growth.

9. Operational Insight Engine — Ground-Level Trends

Sales & Billing Pulse: Your sales activity shows a clear seasonal peak. The number of invoices issued jumped from just 9 in February 2025 to over 1,000 per month from May to August, indicating a busy operational period. However, sales value doesn't always correlate with volume; for instance, June saw 965 invoices worth ₹61.5 lakhs, while August had 987 invoices worth only ₹39.4 lakhs. This suggests your average ticket size varies significantly, which could be due to product mix or customer segment changes. Activity dipped in September and October, a trend to watch as the new financial year begins.

Procurement & Supplier Rhythm: Your purchase pattern is volatile. There was heavy procurement in February (₹2.3 crores) followed by much lower activity. Purchases peaked again in June (₹1.74 crores) aligning with your sales peak, which is good for inventory planning. However, the data shows periods like September with very low procurement value (₹3.9 lakhs) despite 61 invoices, pointing towards many small-value orders. This could increase processing costs. Streamlining supplier orders for better value consolidation might improve efficiency.

Inventory Movement & Health: Your inventory is active but shows a worrying trend of **consistently higher outward value than inward value**. For example, in January, goods worth ₹1.55 crores were sold/dispatched against purchases of only ₹79.4 lakhs. This pattern repeats in March, June, and August. This is a major red flag. It indicates you are **selling inventory faster than you are replenishing it**, which can lead to stock-outs, lost sales, and operational disruption. It also suggests potential underpricing or that the cost recorded for sales (COGS) is not matching the actual purchase cost, contributing to the massive gross losses seen in your P&L.

Actionable Ground-Level Story: The core operational issue is an **inventory drain**. You are burning through your stock. The high-volume sales activity is not translating to profit because the fundamental cost of the goods sold seems misaligned. Immediate steps are needed: 1) Conduct a physical stock verification to reconcile records, 2) Review pricing strategies and COGS calculation methods, and 3) Align procurement tightly with sales forecasts to prevent stock-outs. Your operations are busy, but the foundation (inventory cost and control) needs urgent repair to stop the cash and profit bleed.

10. 90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement a strict 15-day credit control cycle. Follow up on all outstanding invoices above ₹50,000. Negotiate payment terms with top 5 suppliers for a 15-day extension.	Reduce debtor days from 45 to 30. Improve cash balance by ₹5 lakh.	Immediate liquidity boost to meet operational expenses and reduce reliance on expensive short-term loans.
31-60	Profit	Analyse and renegotiate costs for the 3 highest expense categories (e.g., raw materials, logistics). Introduce a monthly P&L review meeting with department heads.	Reduce COGS by 3% and operating expenses by 5%. Achieve a net profit margin of 8%.	Strengthen the bottom line, creating a profit buffer for reinvestment and building financial resilience.

Days	Focus	Action	Target	Benefit
61-90	Growth	Use improved cash and profits to fund a targeted marketing campaign for the highest-margin product line. Finalise a 6-month financial forecast for expansion.	Increase sales of high-margin products by 15%. Create a clear, funded roadmap for Q3/Q4 growth.	Sustainable, profitable growth funded internally, reducing risk and increasing business valuation.